

Canada Trade Story: Quarter Century of Shifting Partners

NorthLedger Insights - automated analysis

Canada's export base is structurally American, still ~70-75% of goods exports, but not permanently so: the US share fell from 83.5% (2001) to 71.5% (2025) and 69.3% in 2026-Q2. Exports have grown from ~\$411B to ~\$776B annually, but the composition has shifted toward a persistent and widening deficit with China (-\$30B/yr) and a puzzling UK export surge in 2025-26 that looks like a re-export/gold artifact rather than genuine demand. A trend forecast points to flat-to-lower annual exports (~\$540B central, wide bands) but is beaten by the simple seasonal-naïve baseline, so we treat forward projections as weak.

Executive Summary

Canada's trade position over 2001-2026 is a story of scale growth, partner concentration, and one emerging exception. Annual exports to all countries more than doubled in nominal terms, from roughly \$411B (2001) to \$776B (2025). Imports grew faster over the period, and the long-standing goods surplus has narrowed sharply and periodically flipped into deficit (notably 2009).

Three findings stand out:

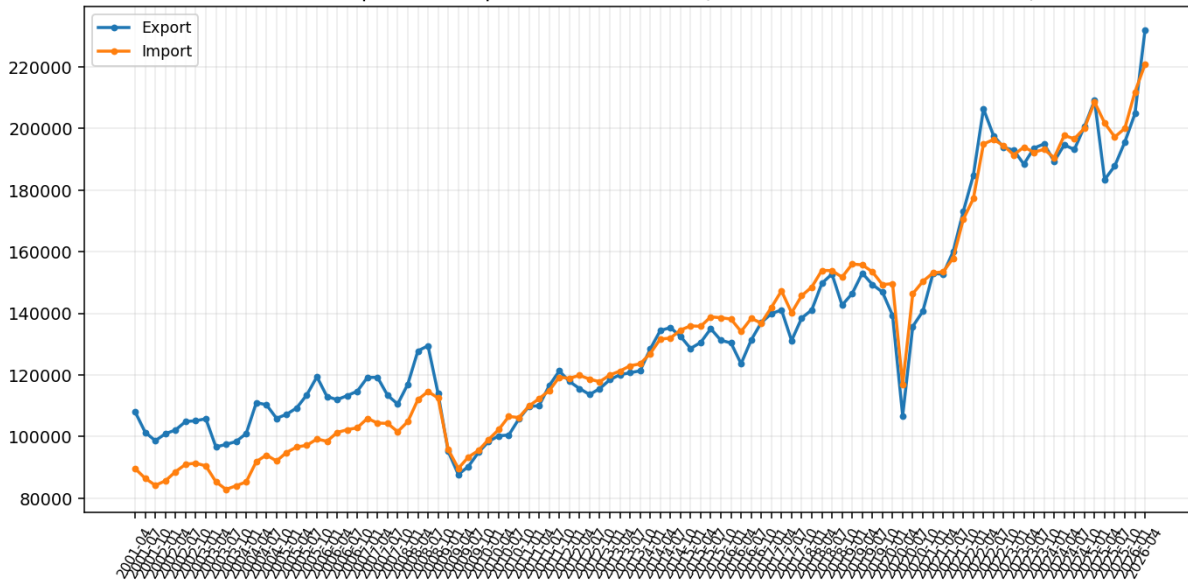
1. The US is still the market. US share of total exports fell from 83.5% in 2001 to 71.5% in 2025, reaching a series-low 67.2% in 2026-Q1 before rebounding to 69.3% in 2026-Q2. That is real diversification, but Canada remains overwhelmingly dependent on one border.
2. China is a deficit, not a market. Exports to China (~\$35B/yr) are dwarfed by imports from China (~\$65B/yr), and the gap has widened from ~\$1.5B/yr in the early 2000s to -\$30.3B in 2025.
3. The UK 2025-26 surge is not credible demand. UK exports jumped from ~\$7B/quarter (2024) to \$20.5B in 2026-Q1, while UK imports stayed flat at ~\$2.4B. The balance tracks the export spike. This strongly suggests a methodological/re-export artifact (e.g., gold or settlement flows), not a genuine 3x expansion of UK demand.

1. Data Profile

`can\_trade` holds 1,818 rows: 6 partners x 3 trade types x 101 quarters (2001-Q2 to 2026-Q2). All values are CAD millions, Balance of Payments basis, seasonally adjusted. No null-like values, no duplicate keys. Each of the 3 trade types has 606 rows and each partner has 303 rows (101 quarters x 3 trades). Data quality is clean; the only cleaning decision made was to use full 4-quarter years only for annual aggregates (2001 and 2026 are partial years and are excluded from annual sums or annualized explicitly).

2. The Arc: Exports and Imports, 2001-2026

Canada Exports vs Imports, All Countries (2001-2026, CAD millions, SA)



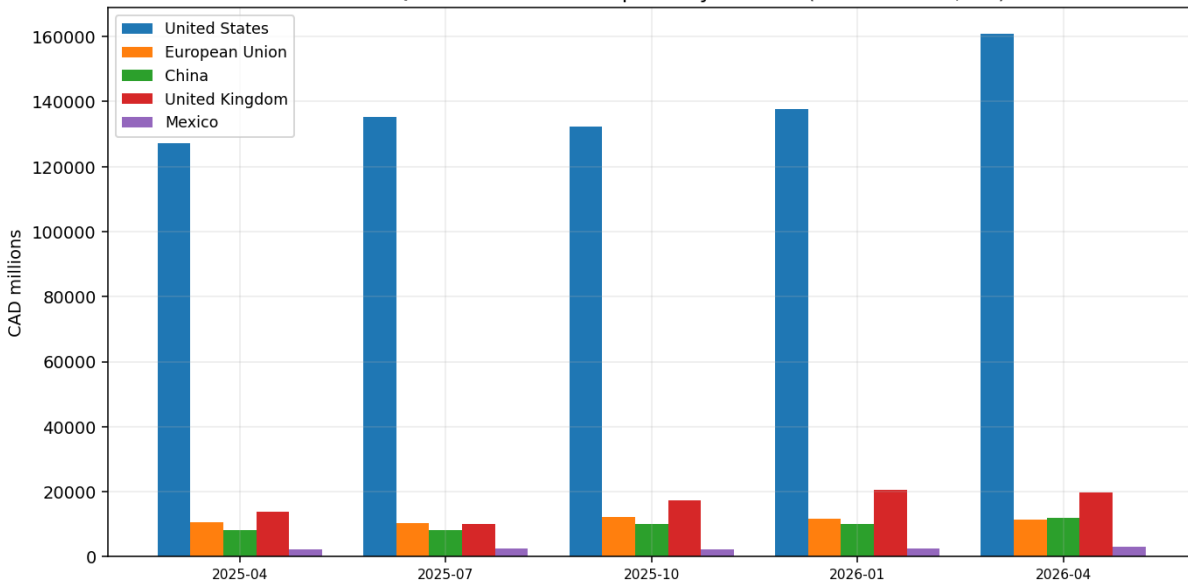
The 101-quarter series captures every major shock:

- 2008-09 crash: exports fell from \$129.5B (2008-Q3) to \$87.7B (2009-Q2), a -32% collapse in three quarters; the trade balance flipped negative in 2009-Q1 (-\$0.6B) and 2009-Q2 (-\$2.0B).
- 2015 oil shock: exports sagged from \$135.4B (2014-Q3) to \$113.0B (2015-Q4), with a secondary dip into 2016.
- COVID 2020: a single-quarter goods collapse to \$106.8B in 2020-Q2, the lowest reading since 2009.
- 2021-22 commodity surge: exports roared to \$206.3B by 2022-Q2, an all-time high, on energy and food prices.
- 2023-25 plateau: exports drifted sideways around \$185-210B/quarter, with a fresh high of \$232.0B in 2026-Q2.

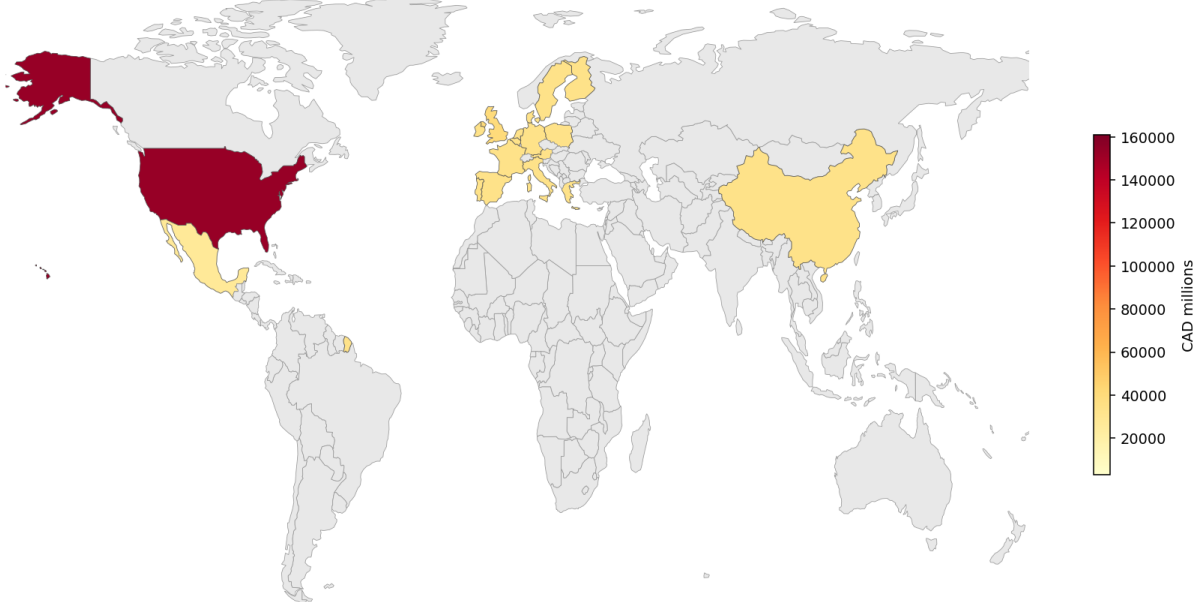
Over the same span imports climbed from \$89.6B (2001-Q2) to \$220.8B (2026-Q2), outpacing exports and steadily eroding the surplus.

3. Partner Structure (Latest 4 Quarters)

Latest 4 Quarters: Canada Exports by Partner (CAD millions, SA)



Canada Exports by Partner, Latest Quarter (2026-04, CAD millions)

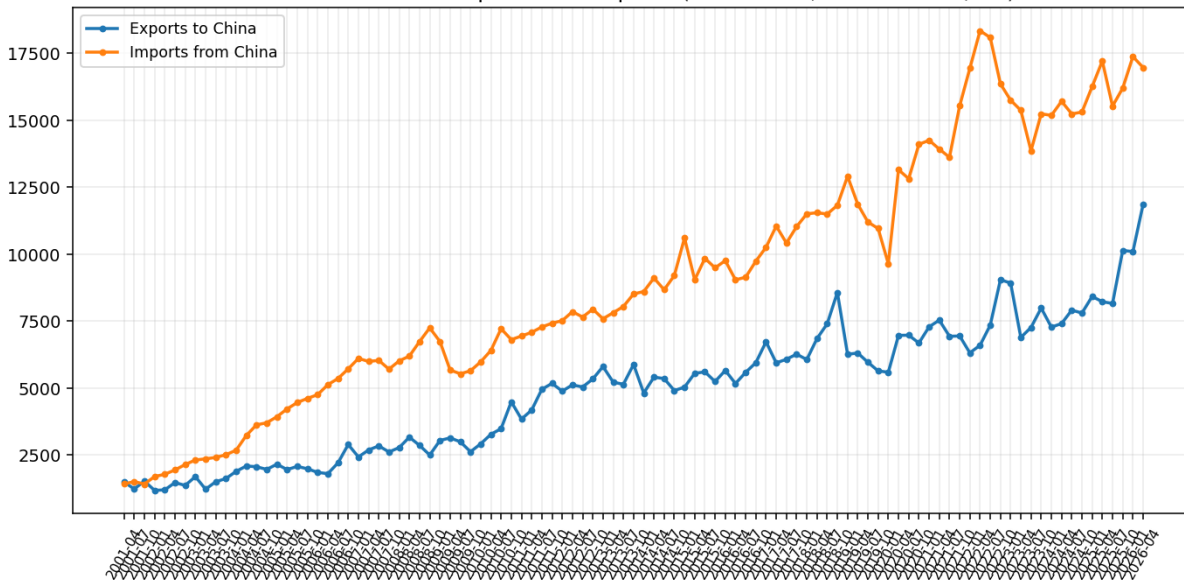


Latest quarter (2026-Q2), exports: United States \$160,795M; United Kingdom \$19,774M; China \$11,853M; European Union \$11,300M; Mexico \$3,065M.

Outside the US, the partner ranking has been scrambled by the UK anomaly: in 2026-Q2 the UK (\$19.8B) was Canada's second-largest export market, ahead of China and the entire EU. A year earlier (2024-Q2) the UK was only ~\$7.1B. Treat the UK rank with caution (see Section 6).

4. The China Story: A Widening Deficit

Canada vs China: Exports and Imports (2001-2026, CAD millions, SA)



Year	Exports to China	Imports from China	Balance
2001 (3Q, annualized)	~\$4.9B	~\$4.8B	~\$0.01B
2010	\$14.1B	\$26.4B	-\$12.3B
2018	\$28.9B	\$46.4B	-\$17.5B
2021	\$28.7B	\$57.3B	-\$28.6B
2022	\$29.3B	\$69.7B	-\$40.4B
2024	\$30.4B	\$61.4B	-\$31.0B

2025	\$34.9B	\$65.2B	-\$30.3B
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Canada ran a roughly balanced China trade in 2001. By 2022 the annual deficit hit -\$40.4B; even after narrowing, 2025 still shows -\$30.3B. Exports to China did hit a record \$11,853M in 2026-Q2, but imports (quarterly ~\$17B) remain roughly 1.5x exports. China is structurally a net demand drain on Canadian trade.

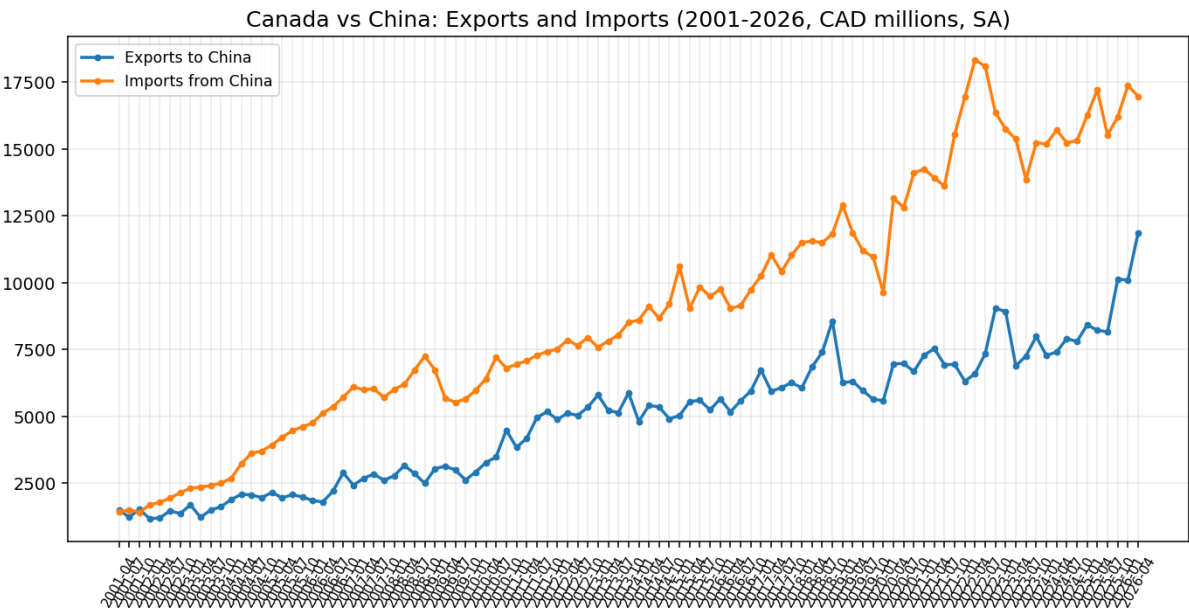
5. US Dependence: Has Canada Diversified?

Computed as US exports / all-countries exports for matching quarters (source: 606 Export rows, quarterly).

Period	US share of exports
2001 (avg, Apr-Dec)	83.5% (Q2 alone: 83.8%)
2024 (avg)	75.9%
2025 (avg)	71.5%
2026-Q1	67.2% (series low)
2026-Q2	69.3%

Verdict: modest, real, but fragile diversification. The US share has fallen ~14 percentage points since 2001 and ~9 points in just two years. However, part of the 2025-26 drop is mechanical: US exports fell from \$160.6B (2025-Q1) to \$127.2B (2025-Q2) -a steep drop-off- while total exports were propped up by the questionable UK surge. If the UK spike is an artifact, "diversification" is overstated: strip it out and the US share would be roughly 71-72%, not 67-69%.

6. The UK Anomaly: Data/Methodology Note



UK annual figures (sum of 4 quarters, CAD millions):

Year	Export	Import	Balance
2021	19,084	10,034	9,050
2022	24,157	9,903	14,254
2023	16,232	10,878	5,354
2024	29,558	9,901	19,657
2025	49,545	10,792	38,752

Quarterly, UK exports jumped from ~\$8.6B (2024-Q4) to \$13.7B (2025-Q2), \$17.3B (2025-Q4), \$20.5B (2026-Q1), \$19.8B (2026-Q2). UK imports stayed flat at ~\$2.2-3.2B/quarter throughout. The trade balance rises almost

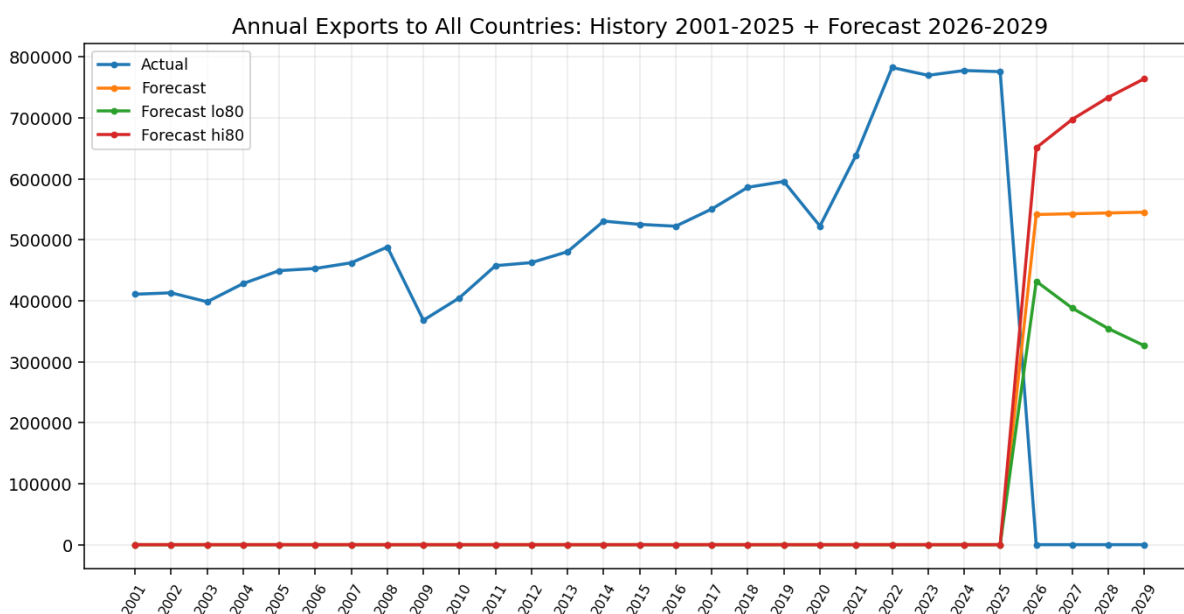
one-for-one with moves in exports (\$5.5B in 2025-Q1 to \$18.1B in 2026-Q1).

Assessment: This is an Export-side phenomenon, not a broad UK re-engagement. Real UK goods demand did not triple in a year. The pattern -a sharp, one-sided jump in a single partner's exports with no matching import move- is a classic signature of a re-export / settlement / high-value-flow artifact (historically, unwrought gold shipped to the UK via Canadian refineries and booked at elevated values). Flag honestly: the UK 2025-26 numbers should be treated as a statistical/methodology artifact until Statistics Canada documentation confirms otherwise. It inflates Canada's apparent "diversification" and its measured total exports.

7. Forecast: Annual Exports to All Countries

Model: OLS trend + seasonality on 25 annual observations (2001-2025), periods=4.

- MAPE (in-sample fit): 10.03% - weak.
- Central forecast: ~\$541B-545B/yr for 2026-2029, essentially flat to slightly declining.
- 80% bands: 2026 ~ \$432-651B; 2027 ~ \$388-698B; 2028 ~ \$354-734B; 2029 ~ \$326-764B (bands widen fast and become implausibly wide by 2029).



Model vs seasonal-naive: The seasonal-naive baseline (last observed value ~ \$530-551B) actually beats the OLS-trend model here. The trend model is dragged down by the 2008 crash and 2022 spike and does not respect the flat recent plateau (~\$776B in 2024-25). Recommendation: trust the naive baseline (~\$550B-776B range, i.e., recent-level persistence) over the trend model's \$541B central estimate. The honest read is that exports are flat-to-modestly-higher, not recovering to 2022-23 peaks on trend alone, with very wide uncertainty.

8. Limitations

- 2026 is incomplete (2 quarters); annual 2026 figures are partial and excluded from annual sums.
- 2001 has only 3 quarters; the 2001 anchor is annualized (x4/3), a proxy.
- The forecast is weak (10% MAPE) and its trend is understating recent levels; the naive baseline wins. Do not treat the central forecast as reliable.
- The UK anomaly distorts totals. If it is a re-export artifact, Canada's true export growth and its apparent diversification are both overstated. No causal attribution is possible from this table alone.
- No price/volume decomposition. All values are nominal CAD; commodity price swings drive much of the 2008, 2015, and 2022 moves, not volume.
- Partner list is limited to 5 named partners plus "All countries"; the "rest of world" residual is not broken out.

- Seasonal adjustment is Statistics Canada's; we did not re-adjust.

9. What To Do (for a Canadian Exporter)

1. Do not abandon the US, but price the concentration risk. 67-72% of exports still go south. Diversification is real but slow; the recent drop is partly the UK artifact.
2. Treat China as a buy-side, not sell-side, relationship. A structural -\$30B/y deficit means China is a sourcing play (inputs, components), not a growth market for most Canadian goods.
3. Discount the UK "boom." Do not staff up or commit capital to UK demand based on 2025-26 figures until StatCan confirms they are not a gold/settlement artifact. Verify with disaggregated commodity detail.
4. Plan for flat, not surging, export revenue. Base case is ~\$550-775B at recent levels; the trend model's downside (\$326B by 2029) is a tail, not a target.
5. Hedge commodity exposure. The 2008/2015/2022 swings show revenue is hostage to prices. Lock in contracts and FX where possible.
6. Invest in EU/Mexico channels as the genuine, if modest, diversification: EU ~\$11B/q, Mexico ~\$3B/q, both growing slowly and both more predictable than the UK spike.

Appendix: Key Exact Figures (cited)

- Total export peak: \$206,335M (2022-Q1); latest \$231,978M (2026-Q2).
- 2008-09 export collapse: \$129,461M -> \$87,705M (-32%).
- US share: 83.5% (2001) -> 71.5% (2025) -> 67.2% (2026-Q1) -> 69.3% (2026-Q2).
- China balance 2025: -\$30,251M (export \$34,925M vs import \$65,176M).
- UK 2026-Q1 exports: \$20,464M vs imports \$2,336M (balance +\$18,128M).
- Forecast central 2026-2029: ~\$541-545B; MAPE 10.0%; naive baseline (~\$530-551B) wins.